

Sakshay Web Technologies

Go Global With Open Source!

Noida-based Sakshay Web Technologies uses open source to overcome tough business challenges.

Underestimating the underdogs proved fatal to France and Italy, who suffered early exits from the 2010 FIFA World Cup. Writing off an underdog in any game can prove disastrous. For years, vendors of proprietary software dismissed open source-based companies as operating on defective business models. Yet, not only have these open source businesses reported escalating growth figures, many have cannibalised the market share of proprietary software companies.

Sakshay Web Technologies, a Noida-based website application development company, is one of many successful open source businesses that have built a sound business model and seen a consistent growth rate of at least 60-70 per cent, annually. The company follows a mixed business model, built around support services and marketing its own open source e-commerce product.

"The profitability of a technology business revolves around having a sound business model and providing a strong value proposition to the customer. Open source companies have both, which makes them viable and strong businesses. Take us for instance – we have a good amalgam of a service-based business model and brand franchising around our solutions. Further, we offer our customers a hard-to-refuse cost proposition. Technology costs can be classified under three heads – licence costs, development costs, and support costs. While our proprietary competitor shifts the burden of all three on to the customer, we save our customers from recurring licensing and development costs. In a nutshell, though open source businesses might be slow starters on the growth run, once they cover their customers with their services/solutions, they can outpace any proprietary competitor," says Dr Ravi Chamria, founder and CEO, Sakshay Web Technologies.

The rationale behind open source

Realising that the technology industry was maturing and becoming customer centric, Dr Chamria started Sakshay Web Technologies in 2005 with a small team of five people,

focused on open source software. Dr Chamria has a lot to say about his decision to go the open source way. "I had founded a company in 2000, which was involved in building offline software and online Web development applications using Java, PHP and Microsoft. Back then, IT was vendor centric but my experiences in my first company led me to believe that IT would soon become customer centric. For instance, when the Delhi government made it compulsory for petrol bunks to have a computerised system, a client that accounted for 80 per cent of petrol bunks in Delhi had software ready and just needed some customisation related to the currency. However, the vendor involved had gone bankrupt, resulting in the petrol bunk chain approaching my first company. Just that small change cost the petrol bunk chain almost as much as the original software. I knew this relationship could not continue for long, as customers eventually shy away from such double expenditure on technology. Then I discovered open source and I knew this was it. Not only was



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